Jing Gao

Contact Information

Carlson School of Management
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Education

Finance — **University of Minnesota**
Carlson School of Management
Ph.D. — 2020 - 2026 (Expected)

Economics — **Renmin University of China**
Hanqing Advanced Institute of Economics and Finance
M.A. — 2017 - 2020

Finance — **University of Minnesota**
Carlson School of Management
M.S. — 2019 - 2020

Finance — **Shandong University**
B.A. — 2013 - 2017

Economics — **University of California, Berkeley**
Exchange student — 2015 Fall

Research Interests

Primary: Macro Finance, Corporate Finance and Financial Institutions
Secondary: Asset Pricing, Machine Learning

Working Papers

1. Institutional Equity Investors and Corporate Debt Financing: A Cross-Market Perspective

Job Market Paper

- ***Presentations***: *MRS 2025 (CIRF & CFRI), 5th COAP 2025, Summer Econ Seminar at University of Minnesota 2025 (scheduled), FMA Doctoral Student Consortium 2025 and Special PhD Paper Presentations (scheduled), SFA 2025 (scheduled), UMN brown bag 2024*

Abstract: Institutional equity investors significantly influence corporate debt issuance due to their triple role as shareholders, equity market participants, and informational intermediaries to the debt market. Among U.S. non-financial public firms, a five-percentage-point increase in institutional equity ownership is associated with a 22% rise in debt issuance. This paper focuses on two mechanisms contributing to this relationship: a supply-side information channel where debt investors learn from equity investors, and a demand-side benchmarking channel that affects shareholders' effective risk aversion. Causal evidence is established using a regulatory shock to mutual fund disclosure and equity benchmarking intensity as an instrumental variable. A calibrated model featuring both mechanisms reveals that the information channel accounts for roughly one-fifth of the debt-equity holdings relationship, with the informational frictions in debt issuance representing about 1% of equity value. Additionally, a benchmarking-induced increase in institutional ownership comparable to Russell 2000 inclusion amplifies the relationship by 9%. These results highlight the importance of cross-market investor linkages and firm responses to investor characteristics in understanding financing outcomes.

2. Behavioral Machine Learning? Computer Predictions of Corporate Earnings also Overreact with Murray Frank, and Keer Yang

- ***Presentations***: *CICF 2025, Financial Intermediation in the 3rd Millennium (2025), JFDS Conference 2023, 2023 Cardiff Fintech Conference, FMA 2023, HKUST, UC Davis Finance Day, and University of Minnesota*

Abstract: Machine learning algorithms are known to outperform human analysts in predicting corporate earnings, leading to their rapid adoption. However, we show that leading methods (XGBoost, neural nets, ChatGPT) systematically overreact to news. The overreaction is primarily due to biases in the training data and we show that it cannot be eliminated without compromising accuracy. Analysts with machine learning training overreact much less than do traditional analysts. We provide a model showing that there is a tradeoff between predictive power and rational behavior. Our findings suggest that AI tools reduce but do not eliminate behavioral biases in financial markets.

3. Remote Work and Asset Prices: The Importance of ICT Human Capital with Jack Favilukis, Xiaoji Lin, Ali Sharifkhani, and Xiaofei Zhao

- ***Presentations***: *AEA 2024, CIRF & CFRI 2024, SFS Cavalcade Asia-Pacific 2024, George Mason University, and University of Minnesota, Stanford Remote Work Conference 2023*

Abstract: A dynamic model with multiple job tasks highlights the critical role of Information and Communications Technology (ICT) human capital in shaping firms' remote work practices, asset prices, and labor policies. In the model, ICT human capital enables firms to adopt remote work policies by sustaining high labor productivity, making firms with high ICT human capital more likely to adopt the remote work and less affected by pandemic shocks. Empirically, consistent with model predictions, industries with high ICT human capital have higher remote work adoption and experience smaller declines in asset prices, employment, and output during and after the pandemic.

4. The Changing Structure of Corporate Profits with Murray Frank

- ***Presentations***: *AFA 2026 (scheduled), FIRS 2025, FOM 2024, Lake District Workshop in Corporate Finance 2024, and University of Minnesota*

Abstract: What explains the evolution of corporate profits and firm dominance in the U.S economy over the past half century? We find that the median public firm assets grew at approximately 2% annually until the early 1990s and then accelerated to 5% annually. Large firms did particularly well. Firms in the top quintile became both larger and more profitable relative to the median firm. Using decomposition analysis and estimated transition matrices, we identify two main mechanisms that drive the growing large firm advantage. Large firms had greater reductions in flow costs than did the median firm. Large firms disproportionately benefited from the long term declining interest rates. We find no evidence of increased persistence among top firms. Approximately 30% of the top quintile firms exit within 5 years. That is true both in earlier decades and in recent decades. Exit rates and firm size transition rates have been quite stable. However, firm entry rates declined significantly since 2000. The evidence calls into question critical aspects of the claims of declining business dynamism and increasing entrenchment of large firms due to market power. A tractable heterogeneous firm model with state-dependent transitions is provided to give a unified account of our firm profit facts.

Conference Discussions

MRS 2025: *Term Structure Extrapolation using Macro-Driven Ultimate Forward Rate* by Hangsuck Lee, Sunae Kim and Hongjun Ha

SFA 2025: *Managing the Information-Driven Volatility* by Jianyao He

Teaching Experience

Instructor, Carlson School of Management 2022 - 2023

Finance Fundamentals: 3 credits
Teaching Evaluation: **5.5/6**

Teaching Assistant, Carlson School of Management 2020 - 2025

MBA/Master Courses: Derivatives and Risk Management; Finance for Multinationals; Portfolio Management; Private and Public Equity Financing; Financial Services Industry; Financing over a Firm's Lifecycle; Financial Capital Structure; Corporate Valuation and Modeling; Debt Markets, Interest Rates, and Hedging; Cash Flows and Project Selection; Working Capital Management; Business Valuation; Corporate Financial Decisions and Analysis; Finance within the Macroeconomy

Undergraduate Courses: International Finance; Behavioral Finance; Banking Institutions; Options & Derivatives; The Global Economy (Macro)

Awards and Honors

Professional Development Funds, University of Minnesota 2025

Ph.D. Student Summer Travel Award, University of Minnesota 2024

Ph.D. Student Conference-Travel Fellowship, University of Minnesota 2023-2024

Carlson School Summer Research Fellowship, University of Minnesota 2021-2024

Carlson School Fellowship, University of Minnesota 2020-2025

National Scholarship, Renmin University of China 2019

President's Scholarship (highest honor awarded by the university), Shandong University 2016

National Scholarship, Shandong University 2014-2015

Additional Experience

Referee, Quarterly Journal of Finance 2025

Assisted in Midwest Finance Association program building 2020

Student Advisory Committee, Carlson School of Management 2024

Summer Schools: DSE Summer School; FTG Summer School; Structural Estimation in Corporate Finance; Northwestern Causal Inference Workshop 2022-2024

Programming Languages

Stata, Matlab

Julia, Python, SAS (some experience)

Professional Experience

Harvard China Gazetteer Project

Onsite Team Member 2017

China CITIC Bank

Intern in Retail Banking Department 2016

Deloitte

Audit Intern 2016

Last updated in August, 2025